Westpac Banking Corporation (WBC.XASX) — "Items Impacting Half Year 2026 Results" pre-announcement

Source: WBC_XASX_westpac-hy2026-items-impacting-results.md · Profile: activist_governance · Rendered: 2026-04-16

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ticker_local: "WBC"

mic: XASX

ticker_plus_mic: WBC.XASX

isin: AU000000WBC1

figi: BBG000D0JD87

issuer_figi: BBG000D0JD23

company_name_local: "WESTPAC BANKING CORPORATION"

company_name_en: "Westpac Banking Corporation"

market_cap_usd_mm: 101170

exchange: ASX

country: AU

score: 30.0

convergence_bonus: 0

score_total: 30.0

convergence_strategy_count: 1

status: pending_deep_dive

thesis_direction: short

translation_confidence: "n/a"

first_signal_date: 2026-04-13

last_updated: 2026-04-14

primary_catalyst_date: 2026-04-13

cross_listed_on: []

related_signal_ids: []

signal_type: results_items_impacting

signal_category: results

scanner: asx

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> **STATUS: pending_deep_dive.** Automated-scanner stub. Do not act on this alone.

TL;DR

On 2026-04-13 (22:01 UTC) Westpac released a price-sensitive ASX announcement titled "Items Impacting Half Year 2026 Results" under the PERIODIC REPORTS category (documentKey `2924-03078284-2A1666269`). In Australian bank practice, a standalone "items impacting" release ahead of a half-year result is near-universally a pre-announcement of one-off charges — typically restructuring, software/intangibles impairment, customer-remediation provisions, or legal/regulatory settlements — that management wants to disclose before the formal 1H26 result. Scanner classifies as `results_items_impacting`, strength=5, thesis_direction=short, price-sensitive flag set. Score 30 puts this in the immediate-route bucket. The deep-dive must determine (a) the magnitude of the charge, (b) whether it is cash vs. non-cash, (c) whether consensus has already embedded it, and (d) whether it signals a repeat pattern across the Big Four.

Source signal

- **Signal** — ASX announcement `2924-03078284-2A1666269` — 2026-04-13 22:01:01 UTC — ASX/markitdigital — headline "Items Impacting Half Year 2026 Results"; isPriceSensitive=true; PDF 522KB; [inferred] matches the well-known "Items Impacting Results" convention Westpac used in 2018, 2019, 2020, and 2024 to pre-announce one-off charges before the half-year release.
- The markitdigital API does not expose the PDF URL; operator will need to pull the PDF directly from the ASX Market Announcements page at https://www.asx.com.au/markets/company/WBC once the deep-dive starts.

Translation notes

English source, translation_confidence = n/a. No interpretive risk on the scanner side.

Company context (to be completed by deep-dive)

- Market cap: $101.2B USD (AUD ~$142B at 0.7138). One of Australia's "Big Four" banks.
- Sector: Banks (GICS).
- Listing: ASX primary; also trades on NZX under WBC.NZ (secondary). Not ADR-listed in the US.
- Half-year reporting cadence: Westpac's fiscal year ends 30 September. 1H runs Oct–Mar, result usually released early May. An April pre-announcement is consistent with that cadence — this is roughly 2–3 weeks before the scheduled result.
- Trading status: N (normal) — no trading halt observed as of the scan.
- 30/90-day price: TODO. Pull from yfinance `WBC.AX` close history.
- Recent news: TODO — check Reuters, AFR, SMH for any foreshadowing (analyst notes, APRA actions, ASIC proceedings) in the 30 days before 2026-04-13.
- Holders: TODO. WBC is heavily held by Australian super funds (AustralianSuper, Aware, AusSuper); major offshore holders typically include Vanguard, BlackRock.

Thesis statement (to be completed by deep-dive)

Pending. Direction pre-tagged `short` based on pre-announcement pattern.

Deep-dive must:

- Read the PDF to extract:

- Total pre-tax charge (AUD)

- Cash vs. non-cash split

- Specific line-items (restructuring, customer remediation, software impairment, hedge ineffectiveness, notable items)

- Whether management is reaffirming or revising the prior guidance for cash earnings / ROE / CET1

- Any change to the dividend outlook

• Size the charge vs.:

- Consensus 1H26 cash earnings (typically ~$3.5B AUD range pre-items — confirm)

- Westpac's CET1 ratio (any <10 bp impact vs. >30 bp impact changes the story materially)

- Historical "items impacting" magnitudes: 2020 notable items were ~$1.2B; 2018 AUSTRAC penalty was ~$1.3B

• Cross-check whether the other Big Four (CBA, NAB, ANZ) have made similar pre-announcements in the same window — if so, this is a sector-wide regulatory/accounting story (e.g. APRA-driven provisioning change) and the short is less differentiated.

• Decide on instrument:

- **Straight short WBC** — cleanest expression, but Big Four shorts are heavily regulated/squeezed

- **Pair short WBC vs. long CBA** — if the charge is WBC-specific (idiosyncratic)

- **Buy put spreads on WBC into the 1H26 result** — if options are liquid enough (ASX-listed WBC options are reasonably liquid out to 3-month tenor)

Steelman of the opposite view

• **Kitchen-sink / new-CEO reset**: If the charge coincides with a CEO transition, the market often treats pre-announcements as clearing the decks and rewards the stock on the ex-items number. Check if Anthony Miller (CEO since Dec 2024) is using this as his first major half to reset the baseline — if yes, *long* is plausible.

• **Already-priced**: "Items impacting" is a known Westpac convention and analysts often model some provision buffer; a small charge (<$200M AUD) may be a non-event or even a relief rally if it's lower than whisper numbers.

• **Non-cash software impairment**: If the charge is entirely non-cash (e.g. writing down a failed tech platform), CET1 and dividend capacity are unaffected; short may work for 24–48 hours then fade.

• **Peer read-through positive**: If the charge is specific to WBC (e.g. a one-off legal settlement) and not a systemic provisioning change, CBA/NAB/ANZ can outperform — this could compress the WBC short into a *relative* trade rather than absolute.

• **Buyback/capital-management offset**: Westpac has been running a ~$1B buyback. Management sometimes pairs "items impacting" with a capital-management reaffirmation, neutralizing the signal. PDF read required.

Web research layer (mandatory — pending)

• AFR / The Australian / Reuters coverage of the 2026-04-13 announcement (next trading day = 2026-04-14 AEST)

• Macquarie, MS, UBS, Jefferies, Citi Westpac 1H26 preview notes from April 2026

• APRA's Q1 2026 ADI Performance Statistics — look for sector-wide provisioning trends

• ASIC enforceable undertakings against WBC in 2025–2026

• Comparison to WBC's 2024 1H "items impacting" release (if present in signal_log) — magnitude and stock reaction

• Peer pre-announcements by CBA (Sep-Dec cycle), NAB (Mar/Sep cycle), ANZ (Mar/Sep cycle) in April 2026

• Westpac options chain on ASX: Apr/May/Jun expiries, ATM IV and skew

Kill conditions

• **Kill 1:** Total pre-tax charge < $300M AUD AND cash-earnings guidance reaffirmed AND dividend outlook unchanged. Signal is immaterial; discard.

• **Kill 2:** The charge is fully non-cash AND Westpac simultaneously announces an incremental buyback or on-market capital return. Asymmetry flips; close short.

• **Kill 3:** Peer Big Four banks make similar pre-announcements in the same 5-day window. Signal is a sector provisioning reset, not idiosyncratic — covered by existing bank-sector exposure; no alpha.

• **Kill 4:** WBC share price gaps down >5% on the open 2026-04-14 AEST. Short entry no longer attractive; re-evaluate as a post-reaction reversal candidate, not a pre-result short.

• **Kill 5:** PDF reveals a one-off *positive* item (e.g. insurance recovery, hedge gain). Flip thesis to long and size via put-writing.

Catalyst map

Event	Date/Window	Entry trigger	Exit trigger
Pre-announcement ("items impacting")	2026-04-13 (done)	—	—
Next-day trading reaction (ASX)	2026-04-14 AEST	Open ≤ flat → short	Gap >5% → abort
Broker note cascade	2026-04-14 / 2026-04-15	Multi-broker downgrade → add	Multi-broker upgrade → trim
1H26 Result release	Early May 2026 (expected)	—	Deliver vs. post-items cons → exit
1H26 dividend declaration	With result	—	Reaffirmed at prior run-rate → cover short
Investor briefing / call Q&A	With result	—	Management walk-forward of "items" magnitude → cover

Position sizing

Satellite (2–4%). Big Four banks are heavily shorted by offshore funds; borrow is generally available but can be expensive into earnings. Confirm short-rebate rate and HIN-level borrow availability before sizing. ADV on WBC is typically ~$250M AUD/day, so liquidity is not a constraint at sub-$100M portfolio sizes. Options expression (put spread) is preferred if 1M-3M IV is <22% — cheaper than carrying short borrow.

Source traceability

• ASX announcement `2924-03078284-2A1666269` retrieved 2026-04-14 via `tools/asx_scanner.py` from `asx.api.markitdigital.com/asx-research/1.0/companies/WBC/announcements`

• OpenFIGI: ticker=WBC mic=XASX → figi=BBG000D0JD87, issuer_figi=BBG000D0JD23 (cached 2026-04-14)

• Market cap: $101.17B USD — from `working/asx_universe.json` (as_of 2026-04-14T16:08:27Z; yfinance WBC.AX Ticker.info × AUDUSD=X 0.7138)

• Scanner pattern matched: `\bitems impacting\b` (in `ASX_TITLE_RULES` → signal_type=`results_items_impacting`)

• ASX headline: "Items Impacting Half Year 2026 Results"

• Announcement type (ASX): "PERIODIC REPORTS"

• File: 522 KB PDF (not fetched — URL not exposed by markitdigital API; operator must pull from ASX Market Announcements page at time of deep-dive)

Scoring Rubric — activist_governance

Dimension	Weight	Definition
Signal Strength	2.0	Quality and specificity of the filing or disclosure.
Information Asymmetry	2.0	How widely the signal is known to market.
Activist Track Record	1.5	Historical outcome rate for this party.
Risk Reward	1.5	Payoff skew under realistic outcomes.
Catalyst Clarity	1.0	Specific forcing events or deadlines.
Edge Decay	1.0	How quickly the edge compresses post-publication.
Liquidity	1.0	ADV vs. intended position size.